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Credit Score Guide

Everything you need to understand, improve, and protect your credit score — in plain English.

> This guide was put together by the team at WiseIQ — a free financial tools site at wiseiq.net. Everything here is based on how FICO scores actually work, not guesswork. No products to sell. No upsells. Just the information you need.

1. What Is a Credit Score — And Why Does It Matter?

A credit score is a three-digit number between 300 and 850 that summarizes how reliably you've managed borrowed money. Lenders, landlords, and even some employers use it to assess risk. The higher your score, the less risk you represent — and the better the terms you'll be offered.

The most widely used scoring model is the **FICO Score**, developed by Fair Isaac Corporation. VantageScore is a competing model used by some lenders, but FICO is used in roughly 90% of lending decisions. When someone says "credit score," they almost always mean FICO.

Score Ranges at a Glance

Score Range	Rating	What It Means

800 – 850	**Exceptional**	Best rates available. Lenders compete for your business.
740 – 799	**Very Good**	Near-best rates. Approved for almost everything.
670 – 739	**Good**	Average rates. Most loans and cards available.
580 – 669	**Fair**	Higher rates. Some products unavailable or require deposits.
300 – 579	**Poor**	Difficult to get approved. Secured cards and credit-builder loans.

> **The real cost of a low credit score:** On a $300,000 30-year mortgage, the difference between a 580 score and a 760 score can mean a rate of 7.5% vs. 6.5% — that's over $65,000 more in interest paid over the life of the loan. Your credit score is one of the most valuable financial assets you own.

2. The 5 Factors That Make Up Your FICO Score

FICO calculates your score using five categories of information from your credit report. Understanding each factor tells you exactly where to focus your energy.

Weight	Factor	What It Means for You
35%	**Payment History**	Whether you pay on time. A single 30-day late payment can drop your score 60–110 points.
30%	**Credit Utilization**	How much of your available credit you use. Keep each card below 30% — ideally below 10%.
15%	**Length of Credit History**	How long your accounts have been open. Older accounts help. Never close your oldest card.
10%	**Credit Mix**	Having both revolving credit (cards) and installment loans (auto, mortgage) shows you can manage both.
10%	**New Credit**	Recent hard inquiries from applications. Each hard pull can drop your score 5–10 points temporarily.

3. How to Raise Your Score — Ranked by Impact

Not all credit-building actions are equal. Here are the most effective moves, ordered by how much they typically affect your score:

Action 1: Never Miss a Payment (35% of your score)

Payment history is the single biggest factor in your FICO score. One 30-day late payment can drop your score by 60–110 points depending on your starting point. The fix is simple but non-negotiable: set up autopay for at least the minimum payment on every account. You can always pay more manually, but autopay ensures you never accidentally miss a due date.

> **Pro Tip:**
> If you have a missed payment from the past, call the creditor and ask for a "goodwill removal." If you've otherwise been a good customer, many issuers will remove a single late payment as a courtesy. It doesn't always work, but it costs nothing to ask.

Action 2: Lower Your Credit Utilization (30% of your score)

Credit utilization is how much of your available revolving credit you're using. If you have a $10,000 credit limit and carry a $4,000 balance, your utilization is 40% — which is hurting your score.

The target: keep each individual card below **30%**, and your total utilization below **10%** if you want to maximize your score. Unlike late payments, utilization has no memory — it resets every month when your statement closes and the issuer reports to the bureaus. This means paying down a card today can improve your score within 30 days.

> **Pro Tip:**
> Ask your credit card issuer for a credit limit increase. If approved, your utilization drops immediately — even if your balance stays the same. Most issuers will do a soft pull (which doesn't affect your score) for existing customers.

Action 3: Dispute Errors on Your Credit Report (free, immediate)

Studies by the Federal Trade Commission found that **1 in 5 Americans** has an error on at least one of their three credit reports. Common errors include accounts that don't belong to you, incorrect balances, duplicate accounts, and late payments that were actually paid on time.

You're entitled to a free credit report from each of the three bureaus (Equifax, Experian, TransUnion) every 12 months at **AnnualCreditReport.com** — the only federally mandated free report site. Review all three. If you find an error, dispute it directly with the bureau online. They're required to investigate within 30 days.

Action 4: Don't Close Old Credit Cards

Closing a credit card does two things that hurt your score: it reduces your total available credit (raising your utilization ratio) and it can shorten your average account age over time. Unless a card has an annual fee you can't justify, keep it open and use it occasionally for a small purchase. A card with a $0 balance and a long history is a silent asset.

Action 5: Be Strategic About New Credit Applications

Every time you apply for a new credit card or loan, the lender performs a "hard inquiry" on your credit report. Each hard inquiry can drop your score by 5–10 points and stays on your report for two years (though it only affects your score for 12 months).

The exception: rate shopping for a mortgage, auto loan, or student loan. FICO treats multiple inquiries of the same type within a 14–45 day window as a single inquiry, because they understand you're comparing rates — not recklessly applying for credit.

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4. Building Credit from Zero (or After a Major Setback)

If you have no credit history or a severely damaged score, the path forward is the same — it just requires starting with products designed for your situation:

Tool	How It Works	Best For
Secured Credit Card	You deposit $200–$500 as collateral, which becomes your credit limit. Use it for small purchases and pay	No credit or poor credit
Credit-Builder Loan	A small loan (typically $300–$1,000) where payments are reported to all three bureaus. The money is he	Building payment history
Authorized User	Ask a family member with good credit to add you to their card. Their positive history can appear on your r	Fastest short-term boost
Secured Charge Card	Similar to a secured card but must be paid in full monthly. No risk of carrying a balance.	Those prone to overspending

> **Realistic timeline:** Starting from no credit or a 580 score, consistent on-time payments and low utilization can get you to the "Good" range (670+) within 12–18 months. Getting from Good to Very Good (740+) typically takes 2–3 years of clean history. There are no legitimate shortcuts — anyone promising otherwise is selling something.

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5. Common Myths — What Does NOT Affect Your FICO Score

Myth: "Checking your own credit score"
Reality: Checking your own score is a "soft inquiry" and has zero impact on your FICO score. Check it as often as you like.

Myth: "Your income or net worth"
Reality: FICO scores are based entirely on credit behavior, not how much you earn. A high earner with poor credit habits will have a low score.

Myth: "Being denied for credit"
Reality: The denial itself doesn't affect your score. The hard inquiry from the application does, but only slightly.

Myth: "Your age, race, or gender"
Reality: Federal law prohibits these factors from being used in credit scoring.

Myth: "Carrying a small balance on your card"
Reality: This is one of the most persistent myths in personal finance. Carrying a balance does NOT help your score — it just costs you interest. Pay in full every month.

Myth: "Closing a paid-off loan"
Reality: Closed accounts in good standing stay on your report for 10 years and continue to contribute positively to your history.

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6. Your Action Plan — Start Here

The most important thing you can do right now is get a clear picture of where you stand. Here's a simple three-step starting point:

Step	Action	Time Required
1	Pull your free credit reports from AnnualCreditReport.com and review all three for errors.	20 minutes
2	Set up autopay for the minimum payment on every account so you never miss a due date.	15 minutes
3	Calculate your credit utilization on each card and identify which to pay down first.	10 minutes

Free Tools at WiseIQ.net Everything below is free — no account, no credit pull, no catch. → **Credit Score Guide:** wiseiq.net/pages/what-is-a-good-credit-score.html → **Debt Snowball Calculator:** wiseiq.net/pages/calculator-debt-snowball.html → **Mortgage Calculator:** wiseiq.net/pages/calculator-mortgage.html → **Credit Dispute Guide:** wiseiq.net/pages/guide-dispute-collection.html → **Build Credit from Zero:** wiseiq.net/pages/guide-build-credit-from-zero.html